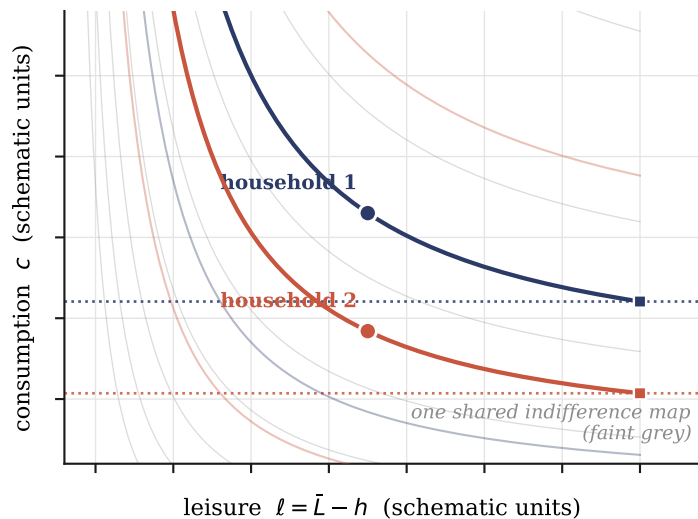
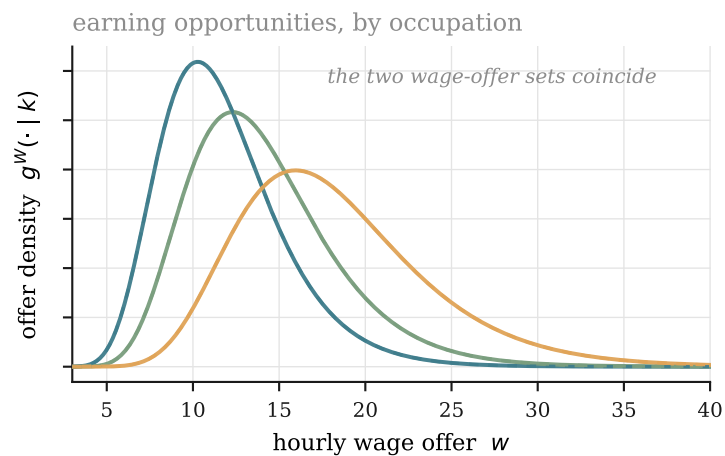
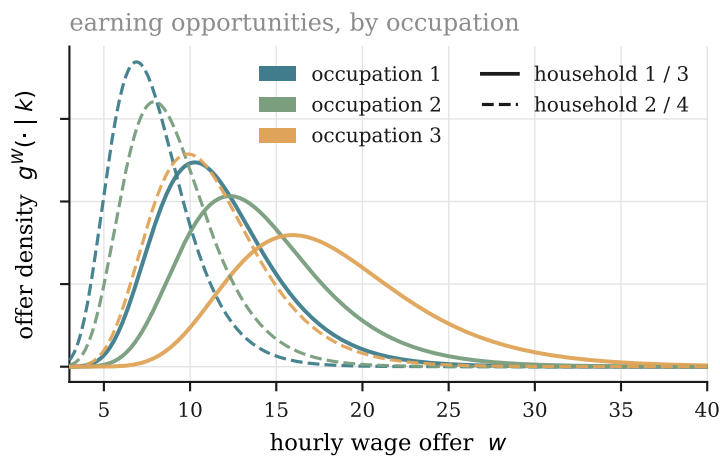
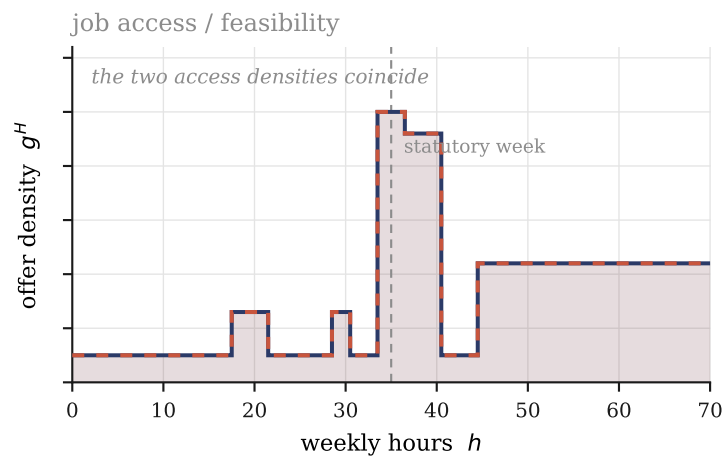
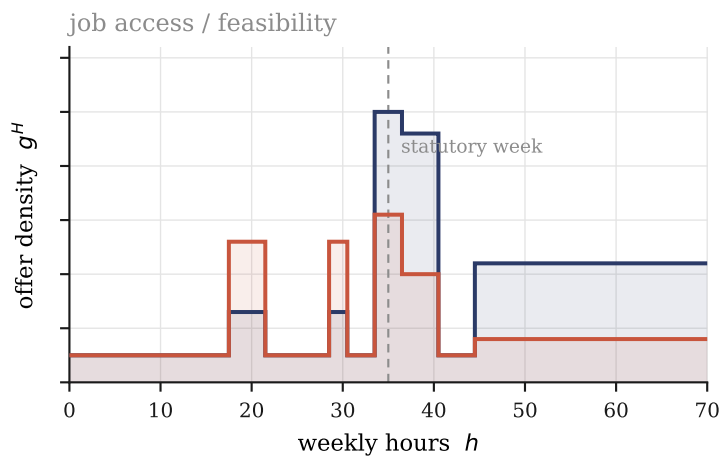
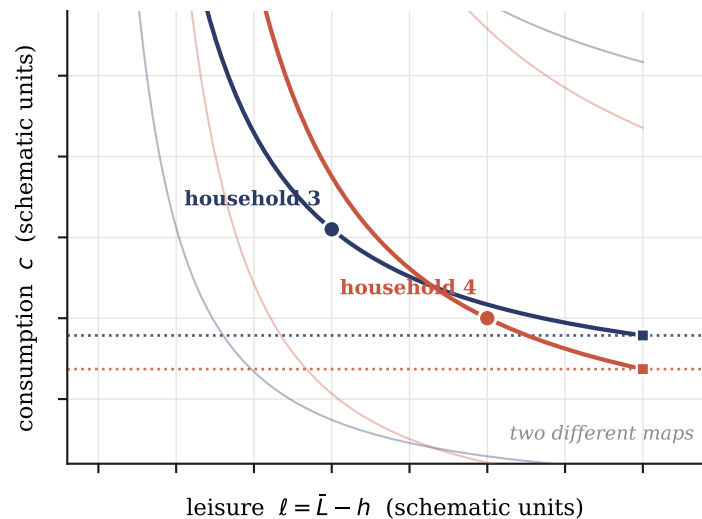


(A) same preferences, different opportunity environments



(B) same opportunity environment, different preferences



— indifference curve (attained)
— rest of the map

● the chosen job
..... attained welfare W^1 (money metric)

— household 1 / 3
— household 2 / 4